to shareholders. Under the proposal, the amounts and types of available fund information would remain largely unchanged. However, information that is of interest only to some shareholders, or information that we believe generally is less useful for purposes of assessing and monitoring an ongoing investment, would be available online and delivered upon request to fund shareholders who want that additional information.

In addition to layering disclosure for existing fund shareholders, we are proposing certain amendments to the way funds present their fees and expenses and principal risks in prospectuses. Many retail investors responding to the Fund Investor Experience RFC stated that current fee and expense and principal risk disclosure is difficult to understand and use. The proposed amendments are designed to provide investors with simpler, easier-to-understand information about a fund's fees and expenses and principal risks, including a summary presentation of bottom-line fee figures that uses plain language descriptions and more concise principal risk disclosure that generally orders risks by importance. Consistent with the current layered approach to prospectus disclosure, additional information about a fund's fee and expenses and risks would remain available for interested investors.

To improve the clarity of fee and expense information that is available to investors more generally, we also propose to amend the Commission's investment company advertising rules. The proposed amendments would require that a registered investment company or business development company ("BDC") advertisement discussing fees and expenses include certain standardized figures and provide reasonably current information. In addition, we are proposing amendments to address potentially misleading statements about fees and expenses in these investment company advertisements.

A. Current Approach to Disclosure for Fund Shareholders

Today, a fund investor receives a prospectus in connection with his or her initial purchase of fund shares. A fund's prospectus serves as the principal selling document for potential investors to help inform investment decisions and facilitate fund comparisons. Fund prospectuses provide important information that an investor should consider when making an investment, including information about a fund's principal investment strategies, fees and expenses, principal risks, and performance.[10] Under the Federal securities laws, a fund (or a financial intermediary) must deliver an updated copy of the fund's summary or statutory prospectus to an existing fund shareholder if the shareholder purchases additional shares of the fund.[11] We understand that, to satisfy applicable prospectus delivery requirements, most funds send an updated summary or statutory prospectus annually to all shareholders to avoid the need to track each shareholder's additional purchase activity throughout the year. Other

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[10] *See, e.g.*, Enhanced Disclosure and New Prospectus Delivery Option for Registered Open-End Management Investment Companies, Investment Company Act Release No. 28584 (Jan. 13, 2009) [74 FR 4546 (Jan. 26, 2009)] ("2009 Summary Prospectus Adopting Release"). The summary prospectus that the Commission adopted took into account investors' preferences as reflected in focus group interviews and a telephone survey. *See* 2009 Summary Prospectus Adopting Release at n.32 and accompanying text.

[11] Section 10(a)(3) of the Securities Act, and section 24(e) and rule 8b-16 under the Investment Company Act, generally require a fund to update its registration statement (which includes its prospectus) annually. The effect of section 10(a)(3) is to require funds to update their prospectuses annually to reflect current fee, performance, and other financial information (the "annual prospectus update").

Section 5(b)(2) of the Securities Act makes it unlawful to deliver a security for purposes of sale or for delivery after sale "unless accompanied or preceded" by a statutory prospectus. Because the requirements of section 5(b)(2) are applicable to "any person," its obligations apply to financial intermediaries through which funds are sold, as well as to the funds themselves. *See supra* footnote 6 (recognizing that a fund or financial intermediary may deliver a summary prospectus to satisfy this prospectus delivery obligation under certain conditions).

funds may track this activity and send a summary or statutory prospectus only to those shareholders who have purchased fund shares during the relevant period. The vast majority of funds use summary prospectuses.[12] Outside of the annual prospectus update, a fund shareholder may also receive updates at other times during the year when a fund supplements, or "stickers," its prospectus disclosure to reflect material or other changes.[13]

In addition to annual prospectus updates and interim stickers, fund shareholders also receive shareholder reports on a semi-annual basis.[14] These reports include detailed information about a fund's operations over a given half- or full-year period, including information about the following items. Certain of this information, including fund performance information, appears only in annual reports.

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[12] We estimate that as of December 31, 2018, approximately 93% of mutual funds and ETFs use summary prospectuses. This estimate is based on data on the number of mutual funds and ETFs that filed a summary prospectus in 2018 in the Commission's Electronic Data, Gathering, Analysis, and Retrieval system ("EDGAR") (10,808) and the Investment Company Institute's estimated number of mutual funds and ETFs as of December 31, 2018 (11,656). *See* Investment Company Institute, 2019 Investment Company Fact Book, at 50, *available at* https://www.ici.org/pdf/2019_factbook.pdf.

[13] *See generally* rule 497 under the Securities Act [17 CFR 230.497]; *see also* section 12(a)(2) of the Securities Act (providing a civil remedy if a prospectus includes an untrue statement of a material fact or omits to state a fact necessary in order to make the statements, in the light of the circumstances under which they were made, not misleading); rule 408 under the Securities Act [17 CFR 230.408] (requiring registrants to include, in addition to the information expressly required to be included in a registration statement, such further material information, if any, as may be necessary to make the required statements, in the light of the circumstances under which they are made, not misleading).

[14] *See* section 30(e) of the Investment Company Act [15 U.S.C. 80a-29(e)]; rule 30e-1 under the Investment Company Act [17 CFR 270.30e-1]. A fund or an intermediary may transmit the shareholder report to an investor. Most fund investors engage an investment professional and hold their fund investments as beneficial owners through accounts with intermediaries. As a result, intermediaries commonly assume responsibility for distributing fund shareholder reports to beneficial owners. *See* Optional Internet Availability of Investment Company Shareholder Reports, Investment Company Act Release No. 33115 (June 5, 2018) [83 FR 29158 (June 22, 2018)] ("Rule 30e-3 Adopting Release"), at paragraph accompanying n.274.

- The ongoing costs of a $1,000 fund investment for the most recent fiscal half-year, including actual expenses (which a shareholder can use to understand his or her ongoing costs of investing in the fund) and hypothetical expenses (which a shareholder can use to compare different funds' ongoing costs);
- Performance, including information about the fund's performance over the past 10 years and fund management's discussion of fund performance for the last fiscal year;
- Portfolio holdings, which includes a list of the fund's investments and graphical representations of the fund's holdings by certain categories (*e.g.*, type of security, industry sector, geographic region, credit quality, or maturity);[15]
- Fund financials, including financial statements and financial highlights, which are audited in annual reports;[16]
- A fund's board of directors and management, including remuneration that the fund paid to these and certain other parties;
- Results of any shareholder vote held during the relevant period;
- The availability of additional information regarding the fund's proxy voting record, code of ethics, quarterly portfolio holdings, and board of directors;

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[15] A fund may include a summary schedule of its investments in securities of unaffiliated issuers, which includes approximately its 50 largest holdings, in the financial statements it provides in the shareholder report, provided it makes the complete list of investments in unaffiliated issuers available online and upon request. Alternatively, a fund must include that complete list of its investments in securities of unaffiliated issuers in its shareholder reports. *See* Instruction 1 to Item 27(b)(1) of Form N-1A; Instruction to Item 27(c)(1) of Form N-1A; rule 12-12B of Regulation S-X [17 CFR 210.12-12B].

[16] *See* Items 27(b)(1) and 27(b)(2) of Form N-1A. The financial statements and financial highlights in a fund's semi-annual report need not be audited. *See* Items 27(c)(1) and 27(c)(2) of Form N-1A.

- Changes in and disagreements with fund accountants;
- Any board approval of an investment advisory contract during the relevant period; and
- The operation and effectiveness of the fund's liquidity risk management program.[17]

Additionally, some funds currently include other information in their shareholder reports that is not required by Commission rules or forms. For example, some funds typically include in their shareholder reports information such as president's letters, interviews with portfolio managers, market commentary, or specific portfolio statistics that are not required (*e.g.*, top ten largest holdings, summary statistics with respect to debt yields and maturities).[18] Based on staff analysis, the average annual report is approximately 134 pages long, and the average semi-annual report is approximately 116 pages long.[19]

Shareholder reports and prospectuses provide some of the same categories of information, including information about expenses and performance. A fund shareholder typically receives an annual report and an annual prospectus update close in time, commonly

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[17] *See* Item 27(b), (c), and (d) of Form N-1A; rule 30e-1(b) under the Investment Company Act [17 CFR 270.30e-1(b)].

[18] *See, e.g.*, Fund Investor Experience RFC, *supra* footnote 8, at Section II.D.5.

[19] We recognize, however, that the length of funds' shareholder reports can vary substantially. For example, the staff observed annual reports ranging in length from 22 pages to more than 600 pages. These figures are based on a 2020 staff review that included a sample of reports from large, mid-sized, and small funds that were available on fund websites. One apparent reason for the different lengths of these reports is that some reports covered a single fund (or series), while others covered many. For example, most reports that were between 22 and 45 pages long covered a single series. However, the number of series a report covered did not solely explain the differences in length. For reports that were longer than 45 pages, there generally was not a clear and consistent relationship between the number of series a report covered and the report's length. *See also* Comment Letter of Investment Company Institute on File No. S7-08-15 (Mar. 14, 2016), at n.49, *available at* https://www.sec.gov/comments/s7-08-15/s70815-581.pdf (estimating that, in 2016, the average annual report was 114 pages long).

within two months of one another.[20] We understand that some funds even deliver a shareholder report and the annual prospectus update at the same time.

With respect to the delivery mechanism, a fund shareholder currently receives shareholder reports and prospectuses in paper or electronically.[21] We understand that shareholders electing electronic delivery of fund disclosure materials typically receive an email that contains a link to where the materials are available online. Additionally, if a fund chooses to rely on rule 30e-3, beginning as early as January 1, 2021, a shareholder who currently receives fund shareholder reports in the mail may begin receiving instead notices that a shareholder report is available at an identified website address.[22] Nonetheless, a shareholder may continue to receive the full report in paper if he or she notifies the fund (or relevant financial intermediary) that he or she wishes to receive paper copies of the reports. The costs of delivering prospectuses and shareholder reports, including printing and mailing costs and processing fees, are generally fund expenses borne by shareholders.

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[20] Under rule 30e-1, funds generally must transmit annual reports within 60 days after the close of the fiscal year. *See* rule 30e-1(c) [17 CFR 270.30e-1(c)]. Under Securities Act section 10(a)(3) and Investment Company Act rule 8b-16(a), funds typically update their prospectuses within 120 days of the end of fiscal year-end, and updated prospectuses are often delivered to existing shareholders soon thereafter.

[21] *See* Use of Electronic Media for Delivery Purposes, Investment Company Act Release No. 21399 (Oct. 6, 1995) [60 FR 53458 (Oct. 13, 1995)] (providing Commission views on the use of electronic media to deliver information to investors, with a focus on electronic delivery of prospectuses, annual reports, and proxy solicitation materials); Use of Electronic Media by Broker-Dealers, Transfer Agents, and Investment Advisers for Delivery of Information, Investment Company Act Release No. 21945 (May 9, 1996) [61 FR 24644 (May 15, 1996)]; Use of Electronic Media, Investment Company Act Release No. 24426 (Apr. 28, 2000) [65 FR 25843 (May 4, 2000)].

[22] *See* rule 30e-3 under the Investment Company Act [17 CFR 270.30e-3]; Rule 30e-3 Adopting Release, *supra* footnote 14.

Beyond prospectuses and shareholder reports, many funds prepare other information for potential or current investors that the securities laws and Commission rules do not require. For example, many funds prepare advertising materials, which can include materials in newspapers, magazines, radio, television, direct mail advertisements, fact sheets, newsletters, and on various web-based platforms. Advertising materials are subject to certain requirements under Commission rules.[23] As an example, many funds prepare monthly or quarterly fact sheets that concisely provide certain information about a fund, such as the fund's performance and strategies, illustrations of the fund's holdings, and certain fund statistics (*e.g.*, net asset value, expense ratio). Fact sheets are often one or two pages long. Some shareholders or financial professionals may use fact sheets to monitor fund investments because, for example, they include more up-to-date performance information than shareholder reports or prospectuses.

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[23] *See infra* Section II.I (discussing the Commission's advertising rules and certain proposed changes to these rules).

B. Information about Investor Preferences

Our understanding of investor preferences regarding fund disclosure is informed by many sources, including responses to the Fund Investor Experience RFC, prior investor testing and surveys, and past disclosure reform initiatives. In response to the Fund Investor Experience RFC, the Commission received many comments from individual investors, including through a Feedback Flier on Improving Fund Disclosure (the "Feedback Flier") that accompanied the release to facilitate retail investor input.[24] In addition to the input we received from individual investors, some other commenters on the Fund Investor Experience RFC provided the results of investor surveys they conducted regarding fund disclosure.[25] Moreover, the Commission and its staff have been involved with other relevant investor testing and surveys, including investor testing regarding shareholder reports in 2011 and a study on financial literacy in 2012.[26] Several past Commission rulemakings have also provided information about investors' disclosure preferences, including rulemakings regarding summary prospectuses for mutual funds and ETFs, summary prospectuses for variable annuity and variable life insurance contracts, and broker-dealer and investment adviser relationship summaries.[27]

1. Fund Shareholder Preferences Regarding Ongoing Disclosures

Based on available information, as detailed below, we understand that many fund shareholders would prefer to receive a smaller volume of fund disclosures each year. In

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[24] The majority of individual investors responding to the Fund Investor Experience RFC used the Feedback Flier to provide their views. *See* Fund Investor Experience RFC, *supra* footnote 8, at Appendix B. Unless otherwise indicated, comments cited in this release are the public comments on the Fund Investor Experience RFC, *supra* footnote 8, which are available at https://www.sec.gov/comments/s7-12-18/s71218.htm.

addition, many shareholders view funds' current annual and semi-annual reports as overly long and complex. Available evidence suggests that, as a result of the volume and complexities of fund disclosures, many shareholders do not read much, if any, of the ongoing disclosures they receive. We understand that fund shareholders would prefer concise, layered shareholder report disclosure that highlights key information and that uses design features to make the reports easier to understand and use.

Investor Preferences for Concise, Layered Disclosure

The vast majority of individual investors responding to questions in the Fund Investor Experience RFC about summary disclosure expressed a preference for summary disclosure with additional information available online or upon request, while only a very few stated that

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[25] *See, e.g.*, Comment Letter of Broadridge Financial Solutions, Inc. (Oct. 31, 2018) ("Broadridge Comment Letter I"); Comment Letter of the Consumer Federation of America (Oct. 31, 2018) ("CFA Comment Letter"); Comment Letter of Investment Company Institute (Oct. 24, 2018) ("ICI Comment Letter I"); Comment Letter of Broadridge Financial Solutions, Inc. (Apr. 28, 2020) ("Broadridge Comment Letter II").

[26] *See* Investor Testing of Selected Mutual Fund Annual Reports (Feb. 9, 2012) ("2012 Report on Investor Testing of Fund Annual Reports"), *available at* https://www.sec.gov/comments/s7-08-15/s70815-3.pdf; SEC Staff, Study Regarding Financial Literacy Among Investors (Aug. 2012) ("Financial Literacy Study"), *available at* http://www.investor.gov/publications-research-studies/sec-research; *see also* Recommendation of the Investor Advisory Committee on Disclosure Effectiveness (May 21, 2020) ("IAC Disclosure Effectiveness Recommendation"), *available at* https://www.sec.gov/spotlight/investor-advisory-committee-2012/disclosure-effectiveness.pdf (discussing, among other things, research findings relating to investors' understanding of fund disclosure).

[27] *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10; Updated Disclosure Requirements and Summary Prospectus for Variable Annuity and Variable Life Insurance Contracts, Investment Company Act Release No. 33814 (Mar. 11, 2020) [85 FR 25964 (May 1, 2020)] ("Variable Contract Summary Prospectus Adopting Release"); Form CRS Relationship Summary; Amendments to Form ADV, Investment Advisers Act Release No. 5247 (June 5, 2019) [84 FR 33492 (July 12, 2019)] ("Form CRS Adopting Release").

they did not prefer concise, summary disclosure.[28] Some investors specifically addressed and supported a more concise, summary shareholder report.[29] Moreover, several investors expressed concern about the current length of fund disclosure materials.[30] Commenters' overall preference for summary disclosure is generally consistent with other information the Commission has received—through investor testing, surveys, and other information-gathering—that similarly indicates that investors strongly prefer concise, layered disclosure.[31]

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[28] For example, of the 49 individual investors who responded to a question about summary disclosure in the Feedback Flier, 46 investors preferred summary disclosure and three investors did not. *See, e.g.*, Comment Letter of Carol Palmer (June 5, 2018) ("Palmer Comment Letter"); Comment Letter of Perry Balke (June 5, 2018) ("Balke Comment Letter") ("Seems like there should be a disclosure for the ultimate investor and then additional/other disclosures for Advisors/Institutions to analyze."); Comment Letter of Sara Karlidag (June 6, 2018) ("Karlidag Comment Letter"); Comment Letter of Chip Morton (Dec. 28, 2018) ("Morton Comment Letter") ("I like the more detailed reports"). Investors who responded to the Fund Investor Experience outside of the Feedback Flier also supported more concise, summary disclosure. *See, e.g.*, Comment Letter of Virginia Lamp (Aug. 13, 2018); Comment Letter of Mark Pitts (July 15, 2018).

[29] *See, e.g.*, Comment Letter of Ann Watters (Oct. 8, 2018); Comment Letter of Allen Weaver (Oct. 8, 2018) ("Weaver Comment Letter"); Comment Letter of Steve Henry (Oct. 8, 2018) ("Henry Comment Letter").

[30] *See, e.g.*, Comment Letter of Carla Rojas (June 9, 2018) ("Rojas Comment Letter") (stating that fund disclosure is too long); Comment Letter of Richard Franco (Sept. 24, 2018) ("Franco Comment Letter"); Comment Letter of Lisa Nevin (June 13, 2018) ("Nevin Comment Letter"); Comment Letter of Mike Woods (Sept. 2, 2018) ("Woods Comment Letter"); Comment Letter of David (Aug. 30, 2018) ("David Comment Letter") (stating that fund disclosures are too overwhelming to be useful).

[31] *See, e.g.*, Broadridge Comment Letter I; ICI Comment Letter I; Broadridge Comment Letter II; 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26 (noting that the concept of a shortened annual report appealed to many focus group participants); *see also* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at Section II (discussing investors' preferences for summary disclosure with respect to fund prospectuses); Financial Literacy Study, *supra* footnote 26 (noting that, based on the feedback of commenters and the results of quantitative and qualitative research, "[w]ith respect to investment product disclosures, investors favor summary documents containing key information about the investment product"); Understanding Investor Preferences for Mutual Fund Information, Investment Company Institute (2006) ("Investor Preferences Report"), *available at* https://www.ici.org/pdf/rpt_06_inv_prefs_full.pdf; Form CRS Adopting Release, *supra* footnote 27, at n.36 (discussing similar preferences for concise disclosure with respect to